

24NWCV03031 24NWCV03031

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Case Number: 24NWCV03031 Hearing Date: September 22, 2026 Dept: SEP

DELUX DESIGN & CONSTRUCTION, INC. v. MANNAVA, ET AL.

CASE NO.: 24NWCV03031

HEARING: 09/22/2026 @ 9:30 AM

#10

TENTATIVE ORDER

Defendants Ravi Mannava and Anuradha Srinivasan's motion to expunge the mechanic's lien is GRANTED.

Moving party to give notice.

Defendants Ravi Mannava and Anuradha Srinivasan (Defendants) move to expunge the mechanics lien recorded by Plaintiff Delux Design & Construction, Inc. (Plaintiff or Delux).

Background

On September 6, 2024, Plaintiff filed this breach of contract action against Defendants and Does 1 through 50. On October 2, 2025, Plaintiff filed the operative first amended complaint (FAC). The FAC alleges that in February of 2023, Plaintiff and Defendants entered into an oral contract for Plaintiff to provide the materials and installation for a first and second floor addition to 13349 Durango Place, Cerritos, California 90703 (Premises) consistent with certain plans (Project). (FAC, ¶ 7.) The FAC alleges that Defendants breached the agreement by failing to pay the balance due to Plaintiff. (FAC, ¶ 8.) The FAC asserts five causes of action: (1) Breach of Contract; (2) Quantum Meruit; (3) Open Book Account; (4) Account Stated; and (5) Foreclosure of Mechanics Lien.

On September 11, 2024, Plaintiff filed a Notice of Lis Pendens as to the Premises.

On June 11, 2025, Defendants filed a cross-complaint and on October 9, 2025, Defendants filed the operative first amended cross-complaint (FAXC) against Plaintiff, Glory Spring Construction Inc. (Glory Spring), Fan-Fu Tseng (Arthur), Fan Wen

Tsen (Kent), Hudson Insurance Company, The Western Surety Company, and Roes 1 through 100. The FAXC alleges that Arthur misled Defendants into believing he was a representative of Glory Spring to induce Defendants to contract with Glory Spring for the Project, but Arthur was actually the RMO of Delux which did not have a CSLB license at all relevant times. (FAXC, ¶¶ 36-28.) The FAXC asserts ten causes of action: (1) Intentional Misrepresentation; (2) Negligent Misrepresentation; (3) Concealment; (4) Violation of Business & Professions Code, § 7031 (Disgorgement); (5) Violation of Business & Professions Code § 7159; (6) Breach of Contract; (7) Negligence; (8) Breach of Implied Covenant to Perform Work in a Good and Competent Manner; (9) Action to Expunge Mechanic's Lien Civil Code § 3118; and (10) Action on Surety Bond Business & Professions Code § 7071.

Legal Standard

"A motion to remove a mechanic's lien is recognized as a device that allows the property owner to obtain speedy relief from an unjustified lien or a lien of an unjustified amount without waiting for trial on the action to foreclose the lien." (Howard S. Wright Construction Co. v. Superior Court (2003) 106 Cal.App.4th 314, 318, citing Lambert v. Superior Court (1991) 228 Cal.App.3d 383.) "The inquiry upon such motion is likewise limited to the 'probable validity' of the lien." (Ibid.) "However, unlike the grant of a motion to expunge the notice of lis pendens, the grant of a motion to remove a mechanic's lien is essentially a judgment on the underlying foreclosure action that no lien exists—a judgment that, upon recordation, removes the lien from the public records." (Ibid.)

Civil Code section 8460 provides that "[t]he claimant shall commence an action to enforce a lien within 90 days after recordation of the claim of lien." (Civ. Code, § 8460, subd. (a).) "If the claimant does not commence an action to enforce the lien within that time, the claim of lien expires and is unenforceable." (Civ. Code, § 8460, subd. (a).) "The owner of property or the owner of any interest in property subject to a claim of lien may petition the court for an order to release the property from the claim of lien if the claimant has not commenced an action to enforce the lien within the time provided in Section 8460." (Civ. Code, § 8480, subd. (a).)

"The lien claimant has the burden of establishing the validity of the lien, [citation] including that the labor, services and/or materials were actually used in the construction, the reasonable value of the work and/or materials, and the date of completion or cessation of work." (Basic Modular Facilities, Inc. v. Ehsanipour (1999) 70 Cal.App.4th 1480, 1485.)

Request for Judicial Notice

Defendants request the Court takes judicial notice of the following:

Contractor's State License Board License Detail and Personnel List for License # 869173, Glory Spring Construction Inc.;

November 25, 2024 California Secretary of State Statement of Information for Glory Spring;

Contractor's State License Board License Detail and Personnel List for License # 1005579, Delux Design & Construction Inc.;

Contractor's State License Board Personnel License List for Tseng, Fan-Fu, a/k/a Arthur

Defendants' request for judicial notice is GRANTED pursuant to Evidence Code section 452, subdivision (h).

Evidentiary Objections

Plaintiff makes twelve evidentiary objections to the declaration of Mannava. The Court rules as follows:

OVERRULED: 1-12

Discussion

Defendants move to expunge the mechanic's lien placed on the Premises in the amount of \$170,186.43 on June 6, 2024. Defendants argue the mechanic's lien is fraudulent and invalid on the following grounds: (1) Plaintiff was not a direct contractor and failed to properly serve a preliminary notice; (2) Plaintiff engaged in unlicensed contracting; and (3) Plaintiff furnished no labor or materials for the Project as it was done by Glory Spring and Arthur individually.

Direct Contractor & Preliminary Notice

Defendants argue that Plaintiff did not give a proper preliminary notice to Defendants as required under Civil Code section 8200.

Pursuant to Civil Code section 8200, subdivision (a), "before recording a lien claim...a claimant shall give preliminary notice to...(1) [t]he owner or reputed owner." "Compliance with this section is a necessary prerequisite to the validity of a lien claim...under this title." (Civ. Code, § 8200, subd. (c).) Whether Plaintiff has a direct contractual relationship with Defendants is relevant because the statute excepts "[a] claimant with a direct contractual relationship with an owner or reputed owner" from this requirement. (Civ. Code, § 8200, subd. (e)(2).) "The rationale for excepting those under direct contract with the owner from serving a preliminary notice is that 'the owner is generally apprised of potential lien claims by those with whom he deals directly, whereas it is difficult for him to learn of potential liens by those not under direct contract. [Citation.]'" (Kim v. JF Enterprises (1996) 42 Cal.App.4th 849, 855.)

Defendants contend that despite Plaintiff's allegations regarding an oral contract, a home improvement work project for more than \$500 must be in writing among other requirements. (Bus. & Prof. Code, 7159, subd. (b).) Defendants also put forth proposal documents for the Project bearing the Glory Spring letterhead with Arthur's signature and documents showing permits were brought by Kent of Glory Spring. (Mannava Decl., Exhs. C, E.) Defendants show that a permit issued by the City of Cerritos listed Defendants as the owners and Glory Springs as the contractor. (O'Brien Decl., Exh. A.) Defendants show that Arthur directed payments to be made to "Tseng," not Plaintiff. (Mannava Decl., ¶ 16, Exh. F.) Defendants contend that there was nothing to lead them to understand that Plaintiff was the actual contractor. Thus, Defendants argue that since Plaintiff cannot establish a direct contractual relationship with Defendants, it was required to give preliminary notice. Defendants assert that they were never served with a preliminary notice. (Mannava Decl., ¶ 25.)

In opposition, Plaintiff argues that preliminary notice was not required because Defendants contracted with Plaintiff. Plaintiff submits a declaration of the responsible managing director (RMO) of Plaintiff, Arthur. (Tseng Decl., ¶ 1.) Arthur asserts that he met with and discussed the Project with Defendants in his capacity of RMO for Plaintiff. (Tseng Decl., ¶¶ 2-3.) Arthur asserts that Defendants "retained Glory Spring Construction for the architectural design of their home. The[sic] were advised by me that Delux Design & Construction, Inc. was the contractor that was doing the construction on the project." (Tseng Decl., ¶ 4.) Plaintiff states that the proposal bearing the Glory Spring letterhead "was submitted in error has[sic] I had provided the amounts for the work that Delux Design & Construction, Inc. was proposing to provide and I advised them that this proposal was from Delux Design & Construction and not from Glory Spring Construction. After the proposal was submitted, I met with [Defendants] and I explained that the proposal had been sent by my nephew since my wife was undergoing chemotherapy when the proposal was submitted and that Delux Design & Construction was the contractor they were hiring." (Tseng Decl., ¶ 5.) As to the checks, Arthur asserts that "[t]he 2 checks...payable to 'Tseng' were payments that I on behalf of Delux Design & Construction, Inc. directed [Defendants] to be made payable to 'Tseng' who is my son that received the checks because Delux Design & Construction, Inc. owed money to my son who is a doctor that had loaned money to Delux Design & Construction, Inc. money during Covid and this was to repay those sums." (Tseng Decl., ¶ 10.) Additionally, the two checks paid to Kent "were directed to Tsen Kent because Delux Design & Development had borrowed money from my brother who directed me to have payments made to his son Kent Tsen." (Tseng Decl., ¶ 11.)

Plaintiff provides the preliminary notice that it served to Defendants. (Tseng Decl., Exh. 2; Mannava Decl., Exh. G.) The preliminary notice lists "LUMX INC" as the claimant and Plaintiff as the name of the firm who contracted for the purchase of labor and service and as the direct contractor. (Tseng Decl., Exh. 2; Mannava Decl., Exh. G.)

In reply, Defendants argue that Arthur's declaration is self-serving. Defendants also argue that the declaration shows at best that Plaintiff, Arthur, Kent, and Glory Spring operate their businesses interchangeably by mistakenly using the wrong letterheads, directing payments to each other, and pulling permits in each other's names. Defendants emphasize that contractors are required to operate under their own license. (See Bus. & Prof. Code, § 7117.)

Here, it is undisputed that Plaintiff did not give notice to Defendants, at issue is whether Plaintiff is excepted as a direct contractor. (Tseng Decl., Exh. 2; Mannava Decl., Exh. G.) " 'Direct contractor' means a contractor that has a direct contractual relationship with an owner" and a " '[d]irect contract' means a contract between an owner and a direct contractor that provides for all or part of a work of improvement." (Civ. Code, §§ 8016, 8018.)

Notably, here, Plaintiff's only evidence of an agreement between Plaintiff and Defendants was that after the proposal bearing Glory Spring's letterhead was given to Defendants, "[Arthur] met with [Defendants] and...explained that the proposal had been sent by my nephew since my wife was undergoing chemotherapy when the proposal was submitted and that Delux Design & Construction was the contractor they were hiring to perform the construction they advised that they had approved the budget and agreed to hire Delux Design and Construction to perform the work and did perform the project. I advised [Defendants] that Glory Spring Construction, Inc. was only doing the architectural design of the project." (Tseng Decl., ¶ 5.) Given that the permits issued by the City of Cerritos reflect only Glory Spring as the contractor, that all payments were to "Tseng" only, and the proposal itself depicts Glory Spring letterhead with Arthur's name, the Court agrees that Plaintiff does not establish the probable validity of a direct contractual relationship with Defendants. The evidence shows that at most, Defendants made agreements with Arthur. The purpose behind the direct contracting exception does not support Plaintiff's position if Defendants did not know they were contracting with Plaintiff. (See Kim, *supra*, 42 Cal.App.4th at p. 855.) Further, Plaintiff, with the burden on this motion, does not show that it made any efforts to correct any of the mistakes such as re-submitting documents with the proper letterhead or explaining to Defendants why Arthur directed payments to anywhere besides to Plaintiff.

As Plaintiff does not establish by a preponderance of evidence a direct contract between Plaintiff, in its name, and Defendants, as property owners, the Court finds that removal of the lien is warranted on this ground. (Civ. Code, § 8200, subd. (c) ["Compliance with this section is a necessary prerequisite to the validity of a lien claim"].)

License

Defendants argue that even if Plaintiff shows that it has a direct contractual relationship with Defendants, it is barred from bringing this action and enforcing its mechanic's lien under Business & Professions Code section 7031, subdivision (a).

[N]o person engaged in the business or acting in the capacity of a contractor, may bring or maintain any action, or recover in law or equity in any action, in any court of this state for the collection of compensation for the performance of any act or contract where a license is required by this chapter without alleging that they were a duly licensed contractor at all times during the performance of that act or contract regardless of the merits of the cause of action brought by the person, except that this prohibition shall not apply to contractors who are each individually licensed under this chapter but who fail to comply with Section 7029.

(Bus. & Prof. Code, § 7031, subd. (a).) "This prohibition applies to a contractor seeking to foreclose his or her mechanic's lien [citations] and thus, by extension, to an unlicensed contractor's right to file a mechanic's lien." (Slatkin v. White (2002) 102 Cal.App.4th 963, 967-68.) "No license, regardless of type or classification, shall be transferable to any other person or entity under any circumstances." (Bus. & Prof. Code, § 7075.1, subd. (a).)

Defendants establish that Plaintiff's license is in the name of "Delux Design & Construction Inc." and thus does not permit Plaintiff to act under a different name. (RJN, Exh. 3.) Defendants establish that Arthur does not have an individual license. (RJN, Exhs. 3-4.) Further, Arthur is not an authorized personnel member of Glory Spring. (RJN, Exh. 1.) Thus, Defendants argue that Arthur either improperly acted under Glory Spring's license or acted under his own individual capacity.

Plaintiff does not address the licensing issues in its opposition. Plaintiff generally argues that the fact that Defendants are not disputing the amounts billed indicates that Defendants are avoiding paying for the services. In reply, Defendants interpret this as an unjust enrichment argument and respond that "[r]egardless of the equities, section 7031 bars all actions, however they are characterized, which effectively seek 'compensation' for illegal unlicensed contract work." (Hydrotech Systems, Ltd. v. Oasis Waterpark (1991) 52 Cal.3d 988, 997.) "In a clear case even where 'the defendant may be left in possession of some benefit he should in good conscience turn over to the plaintiff' the importance of the public purpose in deterring the illegal conduct is deemed to outweigh the 'unjust enrichment' which enforcement of the statute entails." (Jackson v. Pancake (1968) 266 Cal.App.2d 307, 310.)

Here, the Court does not find that a preponderance of evidence supports removing the lien on this ground. The CSLB documents, without more, do not establish that Plaintiff performed unlicensed work as the documents do not show that Plaintiff was without a license at the relevant times. The confusion regarding the identities of the contracting parties does not necessarily reflect that unlicensed work was performed at this time.

Labor and Materials

Defendants lastly argue that Plaintiff cannot establish that it furnished the labor, services, or materials under the mechanic's lien rather than someone else. Defendants argue that since the evidence only identifies Glory Spring or Arthur, Plaintiff cannot now claim a lien entitlement for work it did not perform under its own name.

Here, Plaintiff does not actually produce any evidence supporting the reasonable value of its work and labor. Plaintiff does not delineate the costs of its work relative to the purported architectural design work performed by Glory Spring. "The lien claimant has the burden of establishing the validity of the lien, [citation] including that the labor, services and/or materials were actually used in the construction, the reasonable value of the work and/or materials, and the date of completion or cessation of work." (Basic Modular Facilities, Inc. v. Ehsanipour (1999) 70 Cal.App.4th 1480, 1485.)

Thus, the Court agrees that Plaintiff does not establish by a preponderance of evidence the amount that it paid for labor, services, or materials.

Defendants' motion to expunge the mechanic's lien is GRANTED.

Attorney's Fees

Defendants request attorney's fees pursuant to Civil Code section 8488, subdivision (c).

In opposition, Plaintiff argues that Civil Code section 8488 does not apply to this motion because Defendants did not move under Civil Code Section 8482.

In reply, Defendants argue that "[a]lthough that subdivision appears in the article governing formal release-order petitions for expired liens (Civ. Code § 8482 et seq.), the Legislature's clear policy is that the party who successfully removes an improper lien should not be forced to bear the cost of doing so." (Reply, 8:5-8.)

Here, Defendants bring a Lambert motion rather than a statutory petition to release a mechanic's lien. Neither Lambert nor Howard articulate a basis for attorney's fees. (See, gen., Howard S. Wright Construction Co., supra, 106 Cal.App.4th at p. 318; Lambert, supra, 228 Cal.App.3d at p. 383.) Civil Code section 8488 is based on specific procedural requirements under Civil Code section 8480, et seq. Defendants do not cite to authority for the alleged clear policy by the legislature regarding attorney's fees. As Defendants do not articulate a proper statutory, judicial, or contractual basis for attorney's fees, the Court declines to award them at this time.

Accordingly, Defendants' request for attorney's fees is DENIED.